

Hero Motors Limited — IPO Note

A Global Powertrain Technology Partner — Valuation Not Supported by Fundamentals

Issue Details

Particular	Detail	Particular	Detail
Price Band	₹79 – ₹84	Face Value	₹10
Issue Size	₹1,000 Cr	Fresh Issue	₹600 Cr
Offer for Sale	₹400 Cr	Market Cap (post-issue)	₹3,815.4 Cr
Market Lot	178 shares	Listing	BSE, NSE
Open – Close	16 – 18 Sept 2026	Listing Date	23 Sept 2026

Company Overview

Hero Motors Limited (Ludhiana, Punjab) is an integrated powertrain solutions provider to global automotive OEMs — spanning two-wheelers, e-bikes, performance automotive, off-road vehicles, EVs/hybrids and eVTOL applications. It is India's only manufacturer exporting CVT hubs to global e-bike OEMs, with six manufacturing facilities across India, the UK and Thailand, and a client roster including BMW, Ducati, Hero MotoCorp and enviolo. The company operates through two segments — Powertrain Solutions (54% of FY26 revenue) and Alloys & Metallica (46%) — with EV-linked revenue rising to 23% of total FY26 revenue from 12% in FY24.

Key Financials (Consolidated, ₹ Cr)

Particular	FY23	FY24	FY25	FY26
Revenue	1,054.6	1,064.4	1,089.6	1,188.4
Revenue Growth (%)	15.4%	0.9%	2.4%	9.1%
EBITDA	84.6	68.5	93.4	122.6
EBITDA Margin (%)	8.0%	6.4%	8.6%	10.3%
Net Profit	40.6	13.4	25.2	43.6
PAT Margin (%)	3.9%	1.3%	2.3%	3.7%
ROE (%)	11.6%	3.5%	5.9%	9.2%
RoCE / RoIC (%)	13.0%	6.7%	7.1%	9.2%
P/E at Cap Price (x)	93.9x	284.4x	151.4x	87.6x

Source: Company DRHP/RHP disclosures, compiled from Ventura Securities and GEPL Capital IPO notes.

Valuation vs Listed Peers

Company	P/E (x)	ROE (%)
Hero Motors Ltd	~88x – 92x	8.5% – 9.2%
CIE Automotive India	17.68x	13.18%
Endurance Technologies	40.84x	15.29%
Sona BLW Precision Forgings	76.50x	10.77%
UNO Minda	59.84x	19.59%
Varroc Engineering	56.15x	18.70%

Key Concerns

- Valuation disconnect:** Priced at the highest P/E in its peer set (~88x–92x vs. peer range of 17.7x–76.5x) while delivering the lowest ROE among all listed comparables (8.5%–9.2% vs. peer range of 10.8%–19.6%).
- Volatile earnings history:** PAT margin swung from 3.9% (FY23) to 1.3% (FY24) before recovering to 3.7% (FY26) — a track record of inconsistency, not a clean growth story.

- **High customer concentration:** Top 10 customers contributed 72.9% of FY26 revenue; top 5 alone accounted for 61.4%.
- **Promoter Offer for Sale:** ₹400 Cr of the ₹1,000 Cr issue is OFS — promoters partially cashing out, not purely growth capital.
- **Unidentified use of funds:** A meaningful portion of the fresh issue is earmarked for "inorganic growth through unidentified acquisitions" — limited visibility for investors.

What Other Research Houses Are Saying

Ventura Securities — Rating: **Subscribe**. Cites the company's global OEM relationships, e-mobility/CVT technology leadership, and improving FY26 EBITDA/PAT trajectory as reasons to participate despite the rich P/E of ~87.6x.

GEPL Capital — Rating: **Avoid**. Flags the ~92x P/E as overvalued relative to peers, noting modest financial performance despite the EV expansion and debt repayment plans.

Our own reading aligns with GEPL's caution: near-term revenue and margin recovery is real, but it does not yet justify a valuation that exceeds every listed peer while trailing all of them on return ratios.

iPgraam IPO Wealth View

Rating: AVOID for long-term investors. The business has genuine strengths — a diversified global client base, first-mover position in e-bike CVT technology, and a recovering FY26 print — but the price band bakes in optimism the return ratios don't yet support. Listing-gain oriented investors tracking grey market premium is a separate, higher-risk trade and not a substitute for a fundamentals-based investment decision.

Disclaimer

This note is an independent analysis prepared by Anupam Singh (iPgraam IPO Wealth) based on publicly available disclosures in the company's Draft Red Herring Prospectus / Red Herring Prospectus and third-party IPO notes referenced herein (Ventura Securities Ltd, GEPL Capital Pvt Ltd). This is not a SEBI-registered research recommendation and should not be construed as investment advice. This document is for informational and educational purposes only. Readers should conduct their own due diligence or consult a SEBI-registered investment/research advisor before making any investment decision. Past performance and projections referenced from third-party sources are not guarantees of future results. The author and iPgraam IPO Wealth accept no liability for any loss arising from reliance on this document.